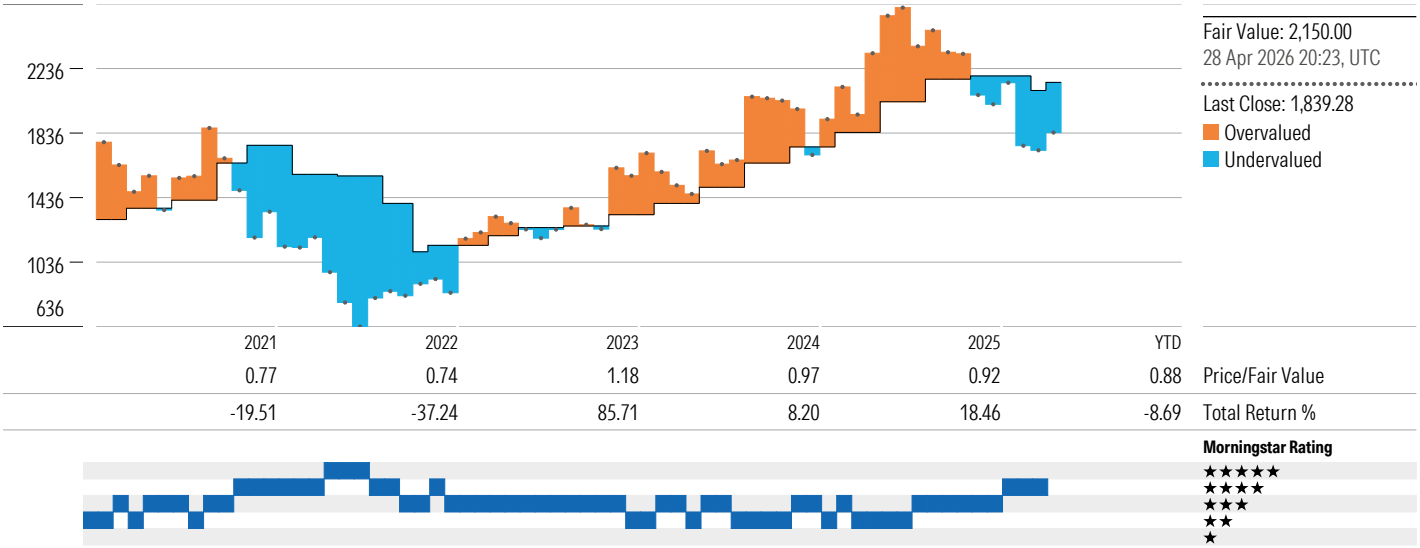
MercadoLibre Inc MELI ★★★★ 28 Apr 2026 21:23, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
1,839.28 USD 27 Apr 2026	2,150.00 USD 28 Apr 2026 20:23, UTC	0.83	90.85 USD Bil 28 Apr 2026	Wide	Large Growth	High	Exemplary	28 Apr 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	0.77	0.74	1.18	0.97	0.92	0.88	Price/Fair Value
	-19.51	-37.24	85.71	8.20	18.46	-8.69	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 27 Apr 2026. Last Close as of 27 Apr 2026. Fair Value as of 28 Apr 2026 20:23, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

MercadoLibre's Platform Investments Drive Competitive Strength and Rapid Revenue Growth

Business Strategy & Outlook Michael Miller, CFA, Equity Analyst, 28 Apr 2026

The year 2025 was another heavy investment year for MercadoLibre, as the company continues to expand its Mercado Envios and Mercado Pago platforms. In our view, this is the correct approach for the firm, as these are key distinguishing features of the company relative to its e-commerce competitors and major drivers of its dominant position in Latin America. Their success also pushes the rising adoption of e-commerce and digital payments in the region, expanding MercadoLibre's total addressable market.

Last year, the company made significant investments in its Brazilian logistics network, reduced the free-shipping threshold in Brazil in June, and nearly doubled its loan book. This drove impressive growth for the company, with 2025 gross profit increasing by more than 34%, but at the cost of margin pressure, as the firm's operating margin fell for the second year in a row. Despite the headwind from rising costs, we like this investment-heavy approach for MercadoLibre. The company still has major growth opportunities ahead, as it benefits from rising e-commerce penetration in Latin America and increased use of digital payments. At this point in the firm's life cycle, we think the company should continue to focus on long-term opportunities ahead, rather than short-term profitability.

MercadoLibre has established itself as the dominant e-commerce platform in Latin America,

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Sector Consumer Cyclical

Industry Internet Retail

Business Description

MercadoLibre is the largest e-commerce marketplace in Latin America, with more than 120 million unique active buyers and 1 million active sellers at the end of 2025. The company is roughly split between its e-commerce business, which includes its fulfillment and advertising services, and its fintech segment, which comprises its rapidly expanding payment and digital wallet platform (Mercado Pago) and its lending business (Mercado Credito). While the company operates in 18 countries, its primary markets are Brazil, Argentina, and Mexico, which account for more than 95% of its revenue.

particularly in its core markets of Argentina, Brazil, and Mexico. The company has entrenched itself in the region's retail landscape by offering a comprehensive suite of logistics, advertising, payment, and financing services to merchants, while also serving as a catalyst for consumer adoption of online payments. We expect the company to continue focusing on improving its logistics system, as it uses shipping speed and cost as key differentiators in its markets. As penetration of fulfillment and advertising services increases, we expect MercadoLibre's commerce revenue growth to continue to outpace gross merchandise volume growth as improved monetization of its e-commerce platform remains a major growth driver for the firm.

Bulls Say Michael Miller, CFA, Equity Analyst, 28 Apr 2026

- Underdeveloped consumer finance markets in Latin America could be an opportunity for MercadoLibre to expand its credit revenue faster than expected.
- The payment ecosystem in Brazil is in a period of disruption as incumbent payment processors lose market share. MercadoLibre's strength in online payments could drive more market share than anticipated.
- Rising e-commerce penetration should allow MercadoLibre's e-commerce platform to continue to take market share from offline shopping.

Bears Say Michael Miller, CFA, Equity Analyst, 28 Apr 2026

- Increasing competition among fintech lenders could lead to a sudden deceleration in credit revenue growth or a deterioration in credit quality if consumers and small businesses become overextended.
- Competition from large global firms could intensify, leading to lower growth.
- Economic conditions in Latin America could deteriorate, leading to major headwinds for MercadoLibre's gross merchandise volume.

Economic Moat Michael Miller, CFA, Equity Analyst, 28 Apr 2026

In our view, Mercado Libre has a wide economic moat. We believe that despite the competitive nature of the e-commerce industry, Mercado Libre has established deep competitive barriers that will lead to returns on invested capital well above its cost of capital, particularly as the firm continues to gain market share and improve monetization. At its core, MercadoLibre's e-commerce business operates as a two-sided marketplace, connecting buyers and sellers on its platform. Over time, the company has expanded into adjacent services for sellers, including fulfillment, advertising, financing, and customer-facing services, increasing both revenue and its reliance on MercadoLibre. The company's success in e-commerce has also allowed it to rapidly expand its Mercado Pago payment platform, entrenching it in Latin America's payment ecosystem, and given its lending business and data advantage over peers, particularly when extending credit to borrowers with limited or no access to financing.

MercadoLibre's primary moat derives from network effects, which support both its marketplace and payment platforms. In commerce, the value of an e-commerce platform to merchants comes from the

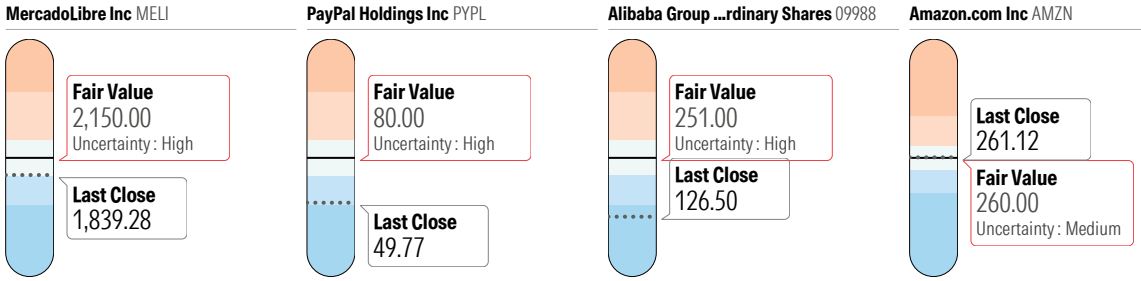
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Competitors



	MercadoLibre Inc MELI	PayPal Holdings Inc PYPL	Alibaba Group ...rdinary Shares 09988	Amazon.com Inc AMZN
Economic Moat	Wide	Narrow	Wide	Wide
Currency	USD	USD	HKD	USD
Fair Value	2,150.00 28 Apr 2026 20:23, UTC	80.00 3 Feb 2026 19:26, UTC	251.00 18 Nov 2025 12:58, UTC	260.00 31 Oct 2025 03:40, UTC
1-Star Price	3,332.50	124.00	389.05	351.00
5-Star Price	1,290.00	48.00	150.60	182.00
Assessment	Undervalued 28 Apr 2026	Undervalued 27 Apr 2026	Undervalued 28 Apr 2026	Fairly Valued 27 Apr 2026
Morningstar Rating	★★★★28 Apr 2026 21:23, UTC	★★★★27 Apr 2026 22:51, UTC	★★★★★27 Apr 2026 21:43, UTC	★★★27 Apr 2026 22:34, UTC
Analyst	Michael Miller, Equity Analyst	Brett Horn, Senior Equity Analyst	Chelsey Tam, Senior Equity Analyst	Dan Romanoff, Senior Equity Analyst
Capital Allocation	Exemplary	Standard	Standard	Exemplary
Price/Fair Value	0.83	0.62	0.52	1.00
Price/Sales	3.23	1.45	2.27	3.94
Price/Book	13.82	2.26	2.15	6.82
Price/Earning	41.73	8.96	21.81	43.29
Dividend Yield	0.00%	0.56%	0.79%	0.00%
Market Cap	90.85 Bil	44.66 Bil	2,435.51 Bil	2,792.88 Bil
52-Week Range	1,593.21—2,645.22	38.46—79.50	101.80—186.20	178.85—264.50
Investment Style	Large Growth	Mid Value	Large Blend	Large Blend

volume of potential demand, which is closely tied to the number of shoppers who use it. The value to consumers comes from the breadth of product selection and competitive prices offered by merchants. As a result, the network grows more valuable for merchants as more customers join the platform, and more valuable to customers as more merchants do, creating a self-reinforcing feedback loop that tends to produce winner-take-all or winner-take-most markets. With over 120 million active buyers (around 20% of Latin Americans) and over 1 million active sellers, we believe that MercadoLibre has already created a massive network of buyers and sellers that would be difficult for its competitors to replicate.

The firm has leaned into its goal of being a one-stop shop for its users by signing partnerships with grocery stores and expanding its own line of first-party products, both of which are intended to fill gaps in the platform's product selection. This has led to a rising number of transactions per user, as the company has positioned itself as the focal point for its users' shopping needs. The company has also benefited from rising e-commerce penetration in Latin America, as improving internet access and

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participation in the formal financial system have expanded its total addressable market. As the overwhelming market-share leader in its core markets, MercadoLibre has leveraged these shifts—themselves driven in part by the company—to grow its sales volume well in excess of retail sales growth in Latin America, with gross merchandise volume growing at a 25.5% CAGR since 2020.

Network effects also play a role in the firm's payments business, which accounted for around 23% of the firm's revenue in 2025. Initially just a means of secure payment for MercadoLibre's marketplace, the company's Mercado Pago payment platform has evolved to include digital wallets, investment accounts, financing, and payment acceptance for both online and offline sales. Because of its significant presence in e-commerce, Mercado Pago rapidly gained traction and consumer awareness as a secure online payment method. Consumer trust in the payment option makes it more attractive for online merchants to use for their own websites, while wider adoption among merchants further increases consumer trust and use. This cemented the firm's position in online payments and established a beachhead for expansion into offline payments and other consumer services, such as digital wallets and credit cards.

Additionally, the firm's role on both sides of a transaction gives it a material advantage in detecting fraud, a significant consideration in online payments. This further reinforces the firm's disproportionately strong position in digital payment acceptance, with 37% of its acquiring volume coming from online payments, far higher than the industrywide average, while the firm's fraud-detection performance remains proportionate.

The benefits of MercadoLibre's network effects are deeply interwoven with the switching costs it has built into its business and its intangible data assets, both of which have supported increasing monetization of its e-commerce platform through higher penetration of fulfillment services and more advertising revenue. E-commerce marketplaces face an inherent risk that their merchant users will multi-list their products across multiple platforms and that shoppers will aggressively compare prices between services. Wide-moat operators in this industry prevent this by tying down merchants through ancillary services, most notably through warehousing inventory, managing order fulfillment, and working capital financing. These services drive faster shipping and better inventory management for merchants, but also increase their reliance on MercadoLibre.

Logistics has been a major area of investment for MercadoLibre, which has made fast, cheap shipping a key component of its value proposition for users. Over 50% of shipments are completed the same day or the next day, and the firm has repeatedly lowered the free shipping threshold, most recently dropping it to BRL 19 in Brazil, or around $3.50-$4.00. Fast, subsidized shipping has consistently led to increased sales, driving unit cost advantages in MercadoLibre's shipping expenses as route density improves and increasing the incentive for merchants to use its fulfillment services, where MercadoLibre provides warehousing for the merchant's inventory.

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Efforts to increase the firm's fulfillment penetration have been highly successful, with it rising from the low 30% range in 2020 to over 50% now, with the firm's Mexican and Brazilian businesses exceeding 75% and 60% penetration, respectively. This drives more revenue for MercadoLibre, with the firm's commerce revenue rising at a 41% CAGR over the last 5 years, versus 25.5% from gross merchandise volume. This also creates substantial switching costs as an increasing number of merchants have their inventory and logistics tied to MercadoLibre, with customers now expecting rapid shipping at low prices that generally is not available from third-party providers. Combined with the firm's advertising, financing, and customer-facing services, switching away from MercadoLibre could require a merchant to completely restructure their business.

MercadoLibre benefits from significant intangible assets due to the sheer volume of transactions, search, and logistics data generated on both its commerce and payment platforms. In its lending business, the company uses transaction and inventory data to help underwrite its consumer and small-business loans. This data gives MercadoLibre an underwriting advantage against other lenders, particularly for borrowers with limited credit data and/or weak credit. Because of limited access to consumer and small-business credit in Latin America, Mercado Libre has been able to rapidly gain market share, making lending a major source of revenue for the firm. The lending business also provides an additional incentive for merchants to focus their businesses around MercadoLibre since their sales, inventory, and customer satisfaction data can get them better access to credit. With around a third of active sellers receiving financing from MercadoLibre, this creates a significant layer of switching costs that keeps merchants on the platform rather than multi-listing their products.

Additionally, MercadoLibre also has ready access to valuable proprietary consumer purchase and search data. Data on the shopping habits and demand of individual users is inherently valuable, and allows the firm to monetize the significant traffic on its website and streaming services by selling advertising space to merchants. This remains an area of significant potential growth, as the digital advertising market in Latin America is still underdeveloped, and advertising spending on the MercadoLibre platform trails peers in other markets. We expect MercadoLibre's advertising revenue to rise from 2.4% of gross merchandise volume to just over 5% by 2035, still below the 7% or higher seen on more mature platforms.

Ultimately, MercadoLibre has created a powerful flywheel that pushes both merchants and users to make the company an integral part of their retail, payment, and financing activities. This has allowed the company to rapidly gain market share across all three parts of its business, as its network effects, switching costs, and intangible assets give it a leadership position in Latin American e-commerce and drive competitive strength in payments and lending. We expect the firm to continue to benefit from rising penetration of online shopping and banking services in its core markets, with the firm's economic moat suggesting that MercadoLibre is more likely than not to earn returns above its cost of capital over

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the 20-year wide-moat horizon.

Fair Value and Profit Drivers Michael Miller, CFA, Equity Analyst, 28 Apr 2026

We are increasing our fair value estimate for MercadoLibre to $2,150 from $2,100. The increase in our fair value estimate is due to higher revenue growth projections and a lower cost of debt in our model. These positive adjustments are partially offset by lower near-term operating margin projections as MercadoLibre continues to invest heavily in its business. Our new fair value estimate translates to a 2026 price/earnings ratio of 41.7 times. Our fair value estimate is sensitive to projections for gross merchandise volume (GMV), take rate, payment market share, and loan growth.

Considering these drivers, we expect GMV to increase at a healthy 13.1% CAGR from 2025 to 2035, as MercadoLibre benefits from both a higher e-commerce market share and a higher cost of capital, and continues to benefit from secular trends toward online shopping and away from brick-and-mortar stores. That said, this marks a deceleration from the impressive 23% average rate MercadoLibre has enjoyed over the last four years, as the firm's increased scale makes such rapid growth more challenging to achieve.

Sticking with the commerce business, we expect the firm's take rate—or commerce revenue as a percentage of GMV— to continue to improve. MercadoLibre has had significant success in turning its logistics investments into higher fulfillment penetration among its merchant users, with penetration in Brazil and Mexico coming in at over 60% and 75% of sales, respectively. This has kept commerce revenue growing faster than GMV, which we expect to continue. 2025 was an unusually weak year for take rate expansion, with the firm's take rate only rising from 20.4% to 20.7%. However, we would attribute some of this to the firm lowering the threshold for free shipping in Brazil, with the company still seeing take rate expansion in Argentina and Mexico. This was done to drive additional growth, a decision that makes sense to us, but it did create headwinds for the firm's take rate in the country during the second half of the year. Absent similar steps, we expect MercadoLibre's take rate to climb over time, reaching 26.9% by 2035 on a consolidated basis. In the long-term, we expect take rate expansion to come disproportionately from Argentina and its long tail of smaller markets.

We also expect strong growth in the firm's fintech segment. We project that total payment volume will increase at an average rate of 12% over the next 10 years, primarily due to higher market share gains, as we project that MercadoLibre's share of total Latin American payment volume will rise to 21.9% by 2035. This is a notable deceleration from the growth rates MercadoLibre has been able to achieve over the last few years, but the payment ecosystem in Latin America has been volatile in recent years, particularly in Brazil due to the success of the government-run Pix payment system, causing us to lean toward conservatism.

Turning to the firm's credit revenue, we expect strong loan growth to be partially offset by declining

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gross yields, resulting in interest income increasing at an average rate of 14.4% from 2025-35. As the consumer and small-business lending markets in Latin America mature, we expect the very high interest rates seen in the region to converge toward levels observed in more developed lending markets. We expect this trend, along with a mix shift toward more asset-backed lending, to cause MercadoLibre's gross yield to fall from 61.4% in 2025 to 39% by 2035. However, this should be at least partially offset by lower credit costs; we expect the firm's net charge-off rate to fall to 10.8% from 18.8% over the same time period.

As MercadoLibre exits its high-growth phase, we expect the firm's operating margin to expand as it benefits from fixed-cost leverage and reduces the cadence of its investments. These margin tailwinds should be partially offset by higher penetration from its first-party sales, which we expect to remain a lower-margin business for the firm. As a result, we expect the firm's gross margin to fall to 42.0% from 44.5% by 2035, while its operating margin is expected to rise to 17.9% from 11.1% over the same period.

Risk and Uncertainty Michael Miller, CFA, Equity Analyst, 28 Apr 2026

We assign a High Morningstar Uncertainty rating to MercadoLibre, as the company's retail focus means it is exposed to the economic health of its major markets. Additionally, as the firm's unsecured loan book rapidly expands, the firm is increasingly exposed to the credit cycle as well.

MercadoLibre's revenue is inherently tied to retail sales as the bulk of its revenue comes from the volume of commerce passing through either its e-commerce marketplace or its Mercado Pago payment platform. As a result, we expect an economic slowdown in any of its core markets to act as a headwind to the firm's business. This is partially offset by regional diversification, with the company's business spread between multiple countries. Illustrating this, MercadoLibre has been able to deliver impressive results despite Argentina's recent economic volatility.

Many lenders in Latin America use some form of collateralization, either through assets or future income, to reduce credit risk. MercadoLibre eschews this approach and relies on the data generated by its e-commerce and payment platforms to support its lending decisions. As a result, the company's net charge-off rate is extremely high, in the high teens as a percentage of total loans. While MercadoLibre is fully compensated for these credit losses through very high interest rates, the weak credit quality of its loan book does create the risk that its credit losses could spike if credit conditions were to deteriorate.

Additionally, the high rates on its financing products do mean that MercadoLibre has some exposure to environmental, social, and governance risk. As consumer debt penetration expands in Latin America, regulators could respond to increasing consumer encumbrance. For example, Brazil has recently passed a law that limited the maximum potential interest accrual on consumer debt.

Capital Allocation Michael Miller, CFA, Equity Analyst, 28 Apr 2026

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We award MercadoLibre an Exemplary Morningstar Capital Allocation rating as the firm's balance sheet looks sound, the company has a strong investment track record and roadmap, and we find its shareholder distribution policy appropriate.

Considering these in sequence, MercadoLibre is in a strong financial position, with nearly $6.3 billion in unrestricted cash and investments and under $9.2 billion in debt. Married with strong profitability, this leaves the company with a low projected 2026 net debt/EBITDA ratio of only 0.63 times and plenty of financial flexibility. While we expect the company to continue investing aggressively, its strong balance sheet and cash flow generation should give it ample room to pursue significant growth opportunities ahead.

MercadoLibre has a strong investment track record, using organic investment to establish itself as the leading e-commerce marketplace in Latin America. The firm's steady investment in its core markets of Brazil, Mexico, and Argentina has driven continued market share growth and monetization in those markets as the firm executes its strategic vision and serves as a driving force behind e-commerce and digital payment penetration in Latin America. The company's heavy investments in logistics have led to a deeper switching costs around their e-commerce platform, as merchants increasingly turn to its fulfillment services, intertwining their businesses with MercadoLibre's in the process. This has also allowed its commerce revenue growth to outpace volume growth, which we expect to continue. We also appreciate the merits of the firm's continued push to offer more consumer and small-business financing, which is driving significant revenue growth and reinforcing its economic moat by deepening relationships with the merchants that sell on its platform.

MercadoLibre does not pay a dividend and engages in only minimal share repurchases. We see this as an appropriate policy, as MercadoLibre is still a growth-stage company with significant investment opportunities ahead. Given where the company is in its lifecycle, the choice to eschew a dividend is likely the right one. That said, as its markets approach maturity and growth slows, we do think the company will have the opportunity to return value to shareholders without impairing its future growth potential.

Analyst Notes Archive

MercadoLibre: Transferring Coverage and Lowering FVE to $2,100; Shares Undervalued Michael Miller, CFA,Equity Analyst,20 Mar 2026

MercadoLibre is the dominant e-commerce platform in Latin America. With rising digital payment and online shopping penetration in the region, the company has major growth opportunities ahead of it as it benefits from long-term secular trends. The bottom line: We are reducing our fair value estimate for wide-moat Mercado Libre to $2,100 from $2,190. Despite the decrease, we see the shares as significantly undervalued at the current price. The decrease in our fair value estimate is due to an

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MercadoLibre Inc MELI ★★★★ 28 Apr 2026 21:23, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
1,839.28 USD 27 Apr 2026	2,150.00 USD 28 Apr 2026 20:23, UTC	0.83	90.85 USD Bil 28 Apr 2026	Wide	Large Growth	High	Exemplary	28 Apr 2026 05:00, UTC

increase in our cost of capital, partially offset by higher projected credit revenue. 2025 loan growth came in at a very strong 90%. While we expect substantial deceleration, consumer lending markets in Latin America are underdeveloped, leaving significant room for growth. MercadoLibre's shares faced major headwinds from a combination of operating margin compression and a risk-off attitude in recent months. That said, investors should focus on its strong competitive position and long-term growth runway. Long view: E-commerce penetration remains low in Latin America, with around 85% of shopping still occurring in brick-and-mortar stores. Thanks to the strong network effects of its e-commerce platform, we expect MercadoLibre to be the major beneficiary of rising online shopping in the region. We expect gross merchandise volume to rise at a 12.65% CAGR over the next 10 years. Thanks to a mix shift toward more first-party sales, increased use of its fulfillment services, and better monetization of its advertising services, we expect commerce revenue to rise at an impressive 17.5% CAGR over the same period. While the firm's operating margin declined for the second year in a row to 11.1%, this was driven by heavy platform investments and a higher loan loss provision expense tied to loan growth. Given the scale of the opportunity ahead in both e-commerce and lending, we think the company is right to focus on long-term growth over short-term profitability.

MercadoLibre Earnings: Prudent Investment Strengthening Network Advantage Despite AI Concerns Dan Wasiolek,Senior Equity Analyst,25 Feb 2026

MercadoLibre's fourth-quarter gross merchandise volume grew 37% (constant currency), accelerating from last quarter's 35%. The credit portfolio rose 90% to $12.5 billion. Operating margins fell to 10.1% from 13.5% on platform investments. Why it matters: MercadoLibre's shipping and credit investments are yielding positive results and enhancing the company's network advantage. We think the company's platform edge will endure amid agentic artificial intelligence fears of disintermediation. Investment behind free shipping of more items in its core Brazil market helped accelerate GMV growth to 46% from 36% last quarter. Also, the company's data models are unearthing new credit customers, with the firm issuing 3 million cards in the quarter, up from 2 million last quarter. While agentic AI models can search for products, we think they will struggle to deliver MercadoLibre's full value proposition, which includes payments, leading shipping costs and delivery times, and customer service. Also, the firm is not sitting idle, overlaying agentic AI on its platform. The bottom line: We don't plan to materially change our $2,190 fair value estimate for wide-moat MercadoLibre, as higher near-term investments are offset by stronger revenue. Shares are slightly undervalued as the market is pricing in more severe AI competition. We plan to increase our 2026 revenue growth to the high 20s from 24%, offset by higher logistics and credit investments. We remain constructive on MercadoLibre's opportunity in Latin America, given 85% of the region's retail spending still occurs at physical stores. We believe the company's current share of less than 5% in the retail market can expand for the foreseeable future.

MercadoLibre Earnings: Prudent Investments Aiding Strong Demand and Strengthening the

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Network Edge Dan Wasiolek,Senior Equity Analyst,30 Oct 2025

MercadoLibre's third-quarter revenue increased 39%, the 27th consecutive quarter of more than 30% growth, and an acceleration from 34% last quarter. Operating margins decreased to 9.8% from 10.5% on logistic and marketing investments. Why it matters: In our view, MercadoLibre's powerful platform continues to strengthen, aided by prudent investments and the higher adoption of its financial product offerings, all of which are enhancing the network's value proposition. A June investment to extend the free shipping threshold in Brazil to items starting at R$19 from R$79 is boosting its network edge. Buyers rose 29%, the fastest increase since 2021, while items in the new threshold increased threefold, accelerating the region's sales growth to 38% from 25% in the previous quarter. Total payment volume accelerated to 41% growth versus 39% last quarter, with user growth of 29%, the credit portfolio up 83%, and assets under management up 89%. With single-digit penetration in Latin America, we expect fintech sales to average about 20% growth through 2029. The bottom line: We don't plan to change our $2,170 per share fair value estimate for wide-moat MercadoLibre materially. We view the shares as fairly valued and wouldn't require a significant discount to recommend an investment in this high-quality, competitively advantaged company. We remain constructive on MercadoLibre's opportunity in Latin America, given 85% of the region's retail spending still occurs at physical stores. We believe the company's current share of less than 5% in the retail market can expand for the foreseeable future. We estimate gross merchandise value, or GMV, growth to average 13% in Brazil (41% of total GMV), 20% in Mexico (23%), 16% in Argentina (15%), and 14% in other countries (21%) during 2025-34.

MercadoLibre Earnings: Investments Aiding Strong Demand Growth and a Leading Network Edge
Dan Wasiolek,Senior Equity Analyst,4 Aug 2025

MercadoLibre's second-quarter net revenue and financial income rose 34% (53% in constant currency), led by a 77% increase in Argentina (130%). Income from operations grew 14%. Why it matters: In our view, MercadoLibre's powerful platform continues to strengthen, aided by prudent investments in logistics and fulfillment, as well as higher adoption of its financial product offering, all of which are enhancing the network's value proposition. Total commerce revenue grew by 29%, driven by 25% active user growth (the strongest since early 2021). In Brazil, the firm dropped its item price point for free shipping and cut delivery costs for suppliers, leading to units sold ramping to 34% growth in June versus the 26% in the full quarter. Financial technology sales increased 40%, with a 30% increase in monthly active users, aided by services like deposit yields and credit on purchases. To this point, the company's credit portfolio grew by 91% while maintaining delinquencies at comfortable levels. The bottom line: Shares were lower by 6% during Aug. 4 after-hours action, due to higher marketing and logistics investment in the quarter. But we plan to lift our $2,030 per share fair value estimate for wide-moat MercardoLibre as this near-term spending is adding to already stout sales growth. We plan to increase our 2025 revenue growth estimate to the low-30s from 29%, driven by improved demand on

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the company's core commerce and fintech platforms. We see shares as appropriately valued, after factoring in the move lower in shares with our planned increase in our fair value estimate. Big picture: We remain constructive on MercadoLibre's opportunity in Latin America, given 85% of the region's retail spending still occurs at physical stores. We think the company's less than 5% share of the retail market can expand for the foreseeable future.

MercadoLibre: Our Exemplary Capital Allocation Rating Intact, Despite Co-Founding CEO Stepping Down Dan Wasiolek,Senior Equity Analyst,22 May 2025

After 26 years, MercadoLibre's co-founder, Marcos Galperin, announced he is leaving his CEO role at the start of 2026. Galperin will maintain a strategic role as the company's executive chairman. Ariel Szarfsztejn, current commerce president, has been tapped as the new CEO.Why it matters: Galperin's shoes won't be easy to fill, as he developed MercadoLibre into Latin America's largest e-commerce platform. But we think Szarfsztejn's leadership and expertise make him a logical choice to maintain the company's stout network advantage. Since joining MercadoLibre in 2017, Szarfsztejn has led integral parts of the company's ecosystem. He drove the development of the company's Envios logistics business from 2018 until 2021, an important part of the core commerce segment (72% of total sales), which he now leads. We expect a smooth transition. With a new CEO and Galperin providing strategic insight as the company's executive chairman, we expect MercadoLibre to continue to push further into commerce, financial services, logistics, and advertising. The bottom line: We reiterate our Exemplary Capital Allocation Rating for wide-moat MercadoLibre. The company should continue to expand prudently and add value behind its strengthening network prowess under its new CEO. The firm's leading commerce platform has recently been augmented by its extensions into financial technology products (payments, credit cards, lending), a best-in-breed shipping solution, an increasingly robust advertising platform, and the evolution of a membership program. Our $2,030 per share fair value estimate is unchanged. Although we see shares as overvalued, we wouldn't require much of a discount to our valuation to recommend this high-quality and well-positioned company.

MercadoLibre Earnings: Commerce and Fintech Platform Prowess Strengthening Despite Macro Concerns Dan Wasiolek,Senior Equity Analyst,8 May 2025

MercadoLibre's first-quarter net revenue and financial income rose 37% (64% in constant currency), led by a 125% increase in Argentina (184%). Income from operations grew 45% despite prudent investments in logistics and financial services to expand its core online merchandising network advantage. Why it matters: Amid global macroeconomic concerns, MercadoLibre's powerful platform continues to exhibit strong structural growth. Commerce revenue grew 32%, driven by 25% active user growth (the strongest since early 2021) and a 28% increase in items sold. This performance is supported by ongoing investment in improving shipping and fulfillment, which was witnessed by the 25% lift in same-day and next-day shipping. Financial technology sales increased 43%, with a 31%

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increase in monthly active users, aided by services like deposit yields and credit on purchases. To this point, the company's credit portfolio grew by 75% while maintaining delinquencies at comfortable levels. The bottom line: We plan to increase our $1,840 fair value estimate by a high-single-digit percentage for wide-moat MercadoLibre, as we now think the firm's revenue compound annual growth rate through 2029 can be in the low 20s versus our 19% preprint forecast, due to its strengthening network advantage. With shares up 8% on May 7 in after-hours trading, we see shares as slightly overvalued even after our planned upward revision. Big picture: We remain constructive on MercadoLibre's opportunity in Latin America, given 85% of the region's retail spending still occurs at physical stores. We think the company's less than 5% share of the retail market can expand for the foreseeable future.

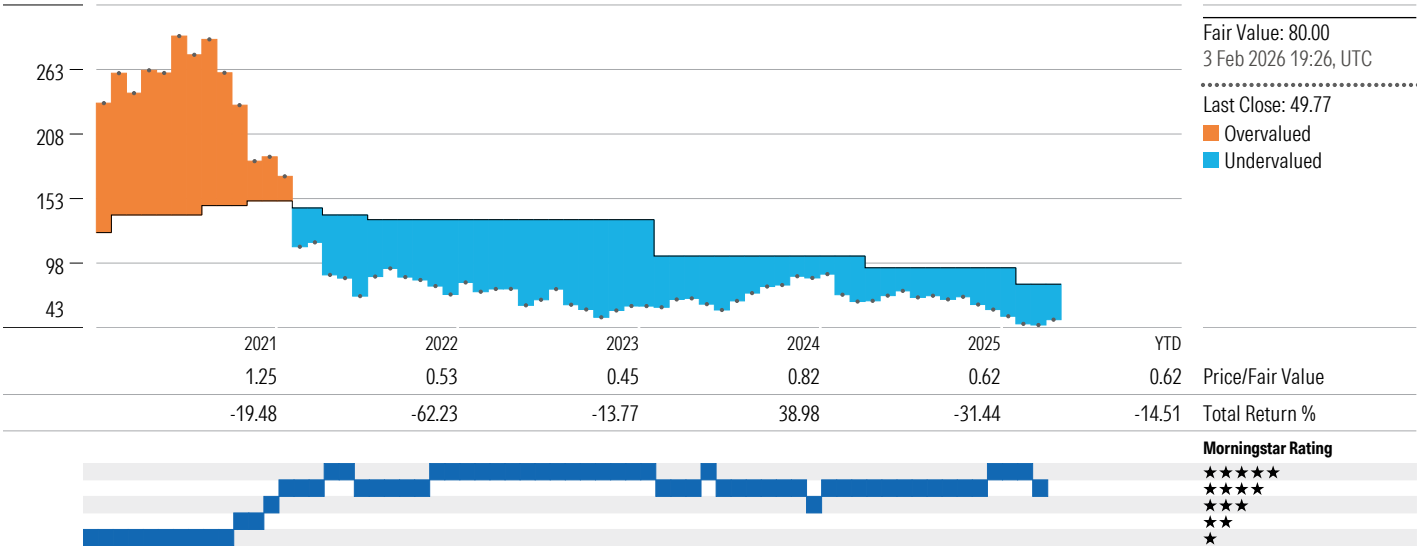
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Competitors Price vs. Fair Value

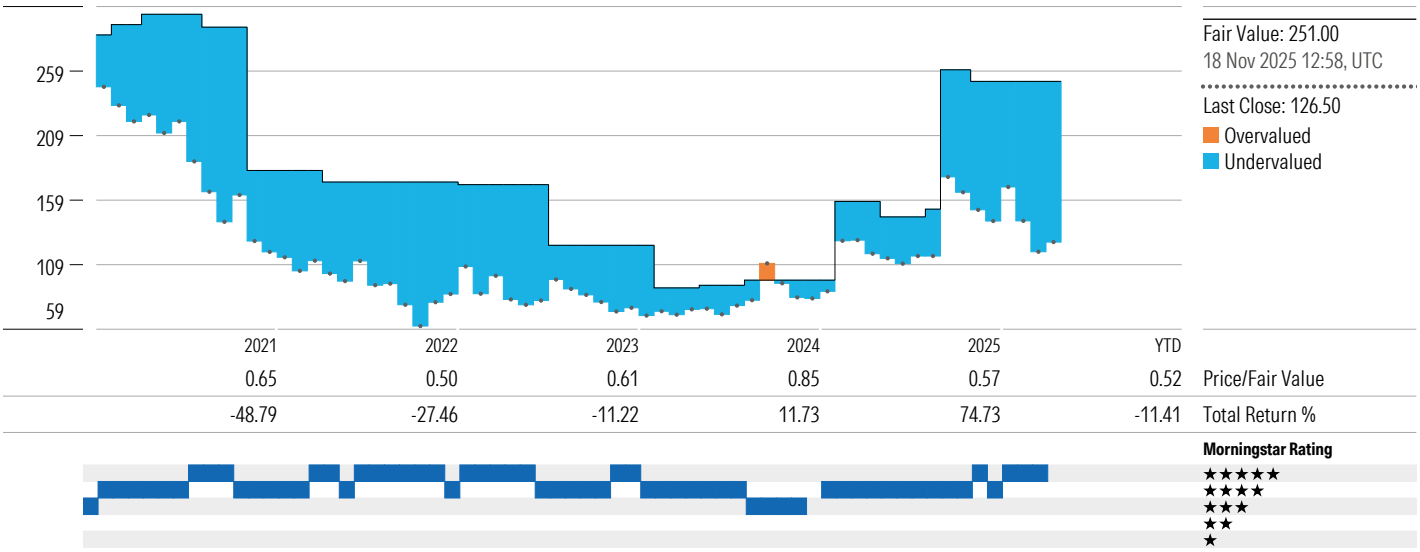
PayPal Holdings Inc PYPL



	2021	2022	2023	2024	2025	YTD	
	1.25	0.53	0.45	0.82	0.62	0.62	Price/Fair Value
	-19.48	-62.23	-13.77	38.98	-31.44	-14.51	Total Return %

Total Return % as of 27 Apr 2026. Last Close as of 27 Apr 2026. Fair Value as of 3 Feb 2026 19:26, UTC.

Alibaba Group Holding Ltd Ordinary Shares 09988



	2021	2022	2023	2024	2025	YTD	
	0.65	0.50	0.61	0.85	0.57	0.52	Price/Fair Value
	-48.79	-27.46	-11.22	11.73	74.73	-11.41	Total Return %

Total Return % as of 28 Apr 2026. Last Close as of 28 Apr 2026. Fair Value as of 18 Nov 2025 12:58, UTC.

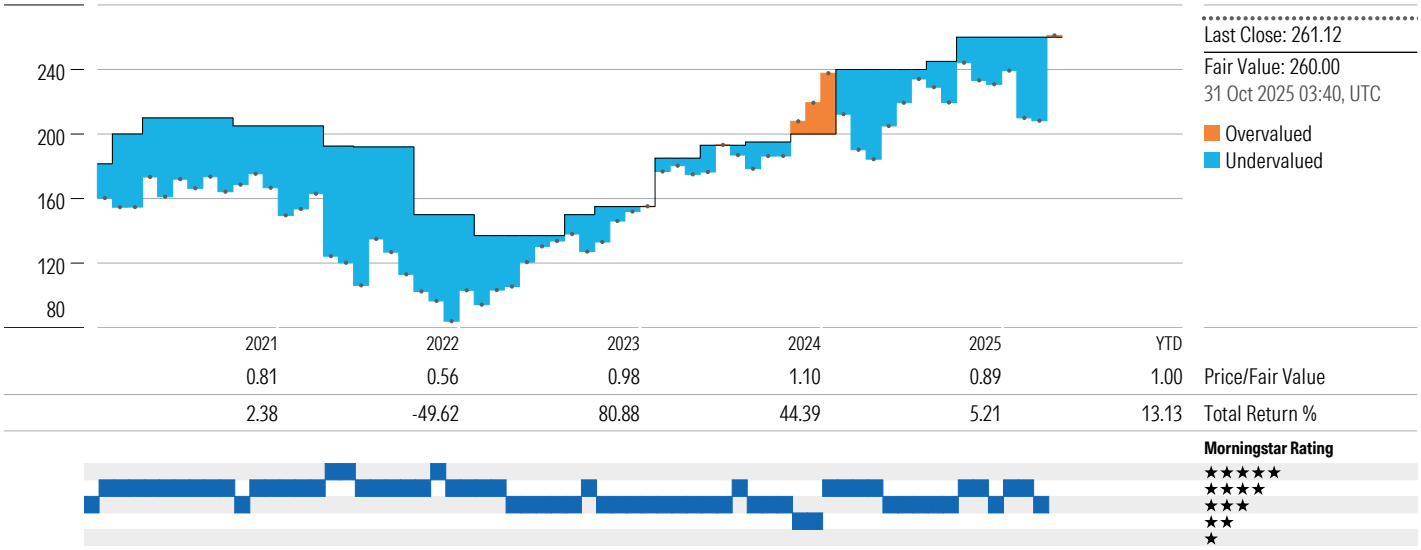
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Competitors Price vs. Fair Value

Amazon.com Inc AMZN



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.81	0.56	0.98	1.10	0.89	1.00
Total Return %	2.38	-49.62	80.88	44.39	5.21	13.13

Total Return % as of 27 Apr 2026. Last Close as of 27 Apr 2026. Fair Value as of 31 Oct 2025 03:40, UTC.

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Morningstar Valuation Model Summary

Financials as of 28 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Revenue (USD Mil)	15,107	20,777	28,893	38,494	47,520	57,044	67,140	77,358
Operating Income (USD Mil)	2,207	2,631	3,201	4,266	5,570	7,235	9,102	11,288
EBITDA (USD Mil)	2,731	3,248	4,019	5,421	7,090	9,174	11,385	13,918
Adjusted EBITDA (USD Mil)	2,116	3,066	3,682	4,997	6,615	8,661	10,847	13,376
Net Income (USD Mil)	987	1,911	1,997	2,612	3,519	4,672	5,960	7,489
Adjusted Net Income (USD Mil)	987	1,911	1,997	2,612	3,519	4,672	5,960	7,489
Free Cash Flow To The Firm (USD Mil)	2,384	2,200	2,688	2,243	2,209	3,109	4,180	5,922
Weighted Average Diluted Shares Outstanding (Mil)	51	51	51	51	51	50	49	48
Earnings Per Share (Diluted) (USD)	19.35	37.69	39.39	51.52	69.41	93.02	120.86	154.86
Adjusted Earnings Per Share (Diluted) (USD)	19.35	37.69	39.39	51.52	69.41	93.02	120.86	154.86
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	42.38	61.22

Margins & Returns as of 28 Apr 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Operating Margin %	12.8	14.6	12.7	11.1	11.1	11.7	12.7	13.6	14.6	12.7
EBITDA Margin %	—	18.1	15.6	13.9	14.1	14.9	16.1	17.0	18.0	—
Adjusted EBITDA Margin %	—	14.0	14.8	12.7	13.0	13.9	15.2	16.2	17.3	15.1
Net Margin %	7.5	6.5	9.2	6.9	6.8	7.4	8.2	8.9	9.7	8.2
Adjusted Net Margin %	7.6	6.5	9.2	6.9	6.8	7.4	8.2	8.9	9.7	8.2
Free Cash Flow To The Firm Margin %	11.9	15.8	10.6	9.3	5.8	4.7	5.5	6.2	7.7	6.0

Growth & Ratios as of 28 Apr 2026		Actual			Forecast					
	3 Year CAGR	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year CAGR**
Revenue Growth %	40.0	43.4	37.5	39.1	33.2	23.5	20.0	17.7	15.2	21.8
Operating Income Growth %	45.7	113.4	19.2	21.7	33.3	30.6	29.9	25.8	24.0	28.7
EBITDA Growth %	44.2	90.1	18.9	23.7	34.9	30.8	29.4	24.1	22.3	28.3
Adjusted EBITDA Growth %	43.8	70.8	44.9	20.1	35.7	32.4	30.9	25.3	23.3	29.4
Earnings Per Share Growth %	60.5	103.1	94.8	4.5	30.8	34.7	34.0	29.9	28.1	31.5
Adjusted Earnings Per Share Growth %	60.5	103.1	94.8	4.5	30.8	34.7	34.0	29.9	28.1	31.5

Valuation as of 28 Apr 2026	Actual			Forecast				
	2023	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Price/Earning	81.2	45.1	51.1	34.8	25.8	19.3	14.8	11.6
Price/Sales	5.3	4.1	3.5	2.4	1.9	1.6	1.4	1.2
Price/Book	26.1	19.8	15.1	9.7	7.1	6.1	5.7	5.3
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	38.3	29.1	29.3	19.4	14.6	11.2	8.9	7.2
EV/EBIT	36.7	33.9	33.7	22.7	17.4	13.4	10.6	8.6
Dividend Yield %	—	—	—	—	—	—	2.4	3.4
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	35.1	39.5
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 28 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
ROA %	6.6	8.9	5.1	4.7	5.0	5.6	6.2	6.9
ROE %	32.1	43.9	29.6	27.9	27.3	31.7	38.1	45.6
ROIC %	34.9	30.1	28.2	28.9	27.8	27.2	26.8	27.2

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MercadoLibre Inc MELI ★★★★ 28 Apr 2026 21:23, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
1,839.28 USD 27 Apr 2026	2,150.00 USD 28 Apr 2026 20:23, UTC	0.83	90.85 USD Bil 28 Apr 2026	Wide	Large Growth	High	Exemplary	28 Apr 2026 05:00, UTC

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	6.3	7.4	10.0	8.7	9.2	9.6	10.1	10.5
Assets/Equity	4.9	5.0	5.7	6.0	5.4	5.6	6.1	6.6
Net Debt/EBITDA	0.6	1.0	1.5	-0.4	-0.4	-0.2	0.0	0.1
Total Debt/EBITDA	2.5	2.2	3.1	2.3	2.0	1.8	1.7	1.6
EBITDA/ Net Interest Expense	54.3	180.4	167.4	80.5	174.3	164.2	105.2	81.3

Forecast Revisions as of 28 Apr 2026	2026		2027		2028	
Prior data as of 20 Mar 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	2,150.00	2,100.21	—	—	—	—
Revenue (USD Mil)	38,494	38,147	47,520	46,205	57,044	54,732
Operating Income (USD Mil)	4,266	4,655	5,570	6,083	7,235	7,640
EBITDA (USD Mil)	4,997	5,800	6,615	7,561	8,661	9,501
Net Income (USD Mil)	2,612	3,061	3,519	4,192	4,672	5,516
Earnings Per Share (Diluted) (USD)	51.52	60.38	69.41	83.47	93.02	112.18
Adjusted Earnings Per Share (Diluted) (USD)	51.52	60.38	69.41	83.47	93.02	112.18
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 28 Apr 2026

Cost of Equity %	13.2
Pre-Tax Cost of Debt %	5.0
Weighted Average Cost of Capital %	11.5
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	10.0
Stage II Investment Rate %	47.8
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 28 Apr 2026

	USD Mil
Present Value Stage I	34,316
Present Value Stage II	27,711
Present Value Stage III	47,738
Total Firm Value	**109,764**
Cash and Equivalents	3,988
Debt	9,193
Other Adjustments	0
Equity Value	**104,559**
Projected Diluted Shares	51
Fair Value per Share (USD)	**2,150.00**

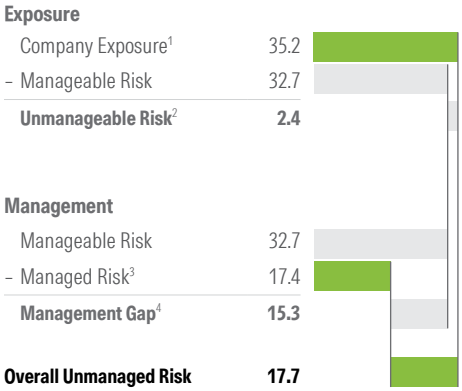
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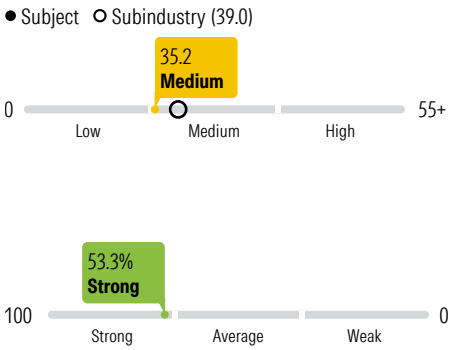
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MercadoLibre Inc MELI ★★★★ 28 Apr 2026 21:23, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
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ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 53.3% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Apr 28, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Internet Software and Services. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 28 Apr 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
MercadoLibre Inc	35.2 | Medium	0	55+	53.3 | Strong	100	0	17.7 | Low	0	40+
Amazon.com Inc	34.7 | Low	0	55+	56.3 | Strong	100	0	16.6 | Low	0	40+
eBay Inc	37.8 | Medium	0	55+	60.8 | Strong	100	0	16.6 | Low	0	40+
Alibaba Group Holding Ltd	38.1 | Medium	0	55+	65.0 | Strong	100	0	15.2 | Low	0	40+
PayPal Holdings Inc	37.9 | Medium	0	55+	52.8 | Strong	100	0	19.5 | Low	0	40+

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Appendix

Historical Morningstar Rating

MercadoLibre Inc MELI 28 Apr 2026 20:26, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★	★★★★	★★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★	★★★	★★	★★	★★	★★	★★★	★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★	★★	★★	★★	★★★	★★★	★★	★★★	★★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★	★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★	★★★	★★	★★★	★★★	★★★	★★	★★★	★★	★★

PayPal Holdings Inc PYPL 27 Apr 2026 22:51, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★	★★★★★	★★★★★	★★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★	★	★	★	★	★	★	★	★	★

Alibaba Group Holding Ltd Ordinary Shares 09988 27 Apr 2026 21:43, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★★	★★★★★	★★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	—
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★

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Amazon.com Inc AMZN 27 Apr 2026 22:34, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★	★★★★	★★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

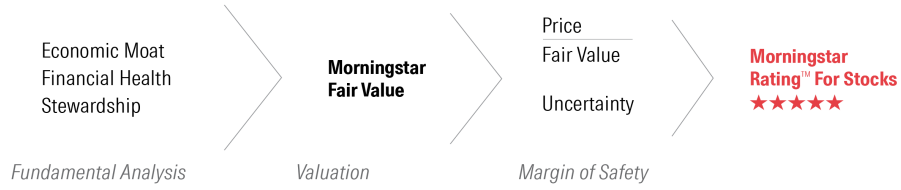
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

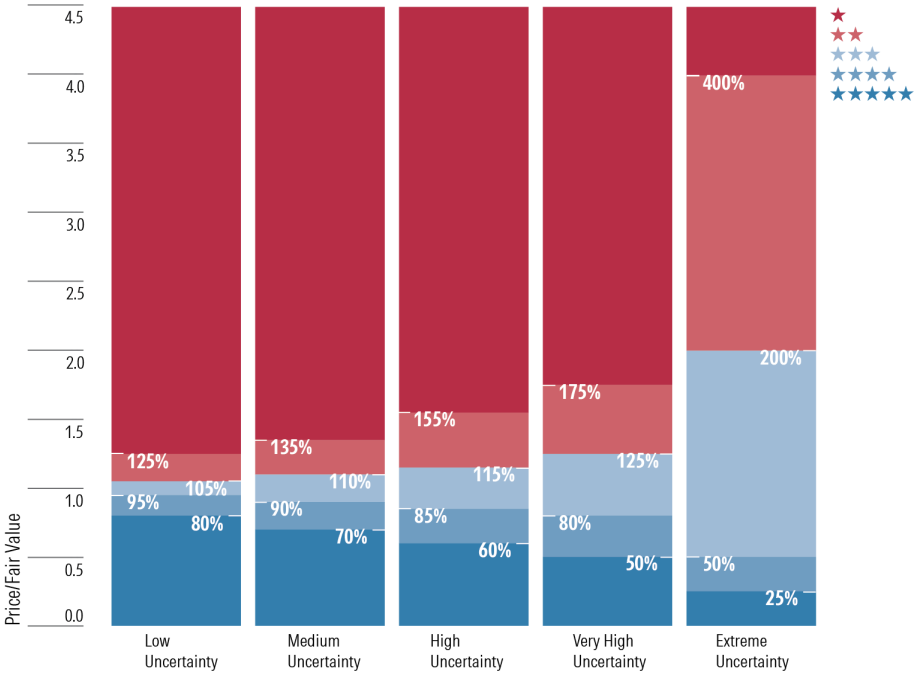
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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